

Chapter 11

MANIFESTATIONS OF INVESTOR PSYCHOLOGY

A MASS PSYCHOLOGICAL JOURNEY

Bull markets climb a “Wall of Worry.” When the wall has been climbed, there is no more worry, just optimism. One way or another, the culminating market psychology always snares just about everyone, public or professional. How it happens is subtle and insidious. Although most market players profess to understand how psychology progresses in a market, in the vast majority of cases, they ultimately fail to act upon what they claim to know. You will be no exception unless you experience and document the progression of market mood from bear to bull and back again *and commit it to your emotional memory*. Otherwise, your professed knowledge will be useless as a weapon against the powerful forces of social psychology that work their ways upon even the most individualistic person. Only a true understanding of the nature of people’s behavior as it relates to markets will allow you to reason through emotionally charged situations and deal with them properly.

I would like first to take you on a journey through time back to the bear market bottom and lead you through a classic progression of market psychology. I want you to learn what a bottom *feels* like and what the changes along the way feel like, so that when you consider the case argued in Chapter 10 that today’s market sentiment reflects a major top, you will not respond, like everyone else, “Yeah, *but....*” If you can have what you know in your head permeate your bones, you will never again let a powerful public mood persuade you to follow the crowd.

Psychology At The Bottom

Turn your mind back to the late 1970s and early 1980s, when U.S. investors were in a panic over uncontrollable inflation, labor unrest, slipping world power, consumer shortages, expensive energy, stifling regulation, all-time high interest rates, and nearly two decades of dishonest or incompetent politicians. Stocks were subject to what observers called “massacres” in 1978, 1979 and 1980.